

Competitive advantage allows a company to:



Results in:

- Higher operating margins
- Stable revenues
- Other indications of higher performance

FINAL THOUGHTS

In this module, our sole focus will be on identifying competitive edges to pick winners in an industry we have already zeroed in on. Competitive advantages or edges are advantages of a company over its competitors and can be broadly classified as cost or differentiation advantages.

So, naturally, competitive advantages must be things that reflect strongly in the financials. Otherwise, they do not hold much value for the shareholders.